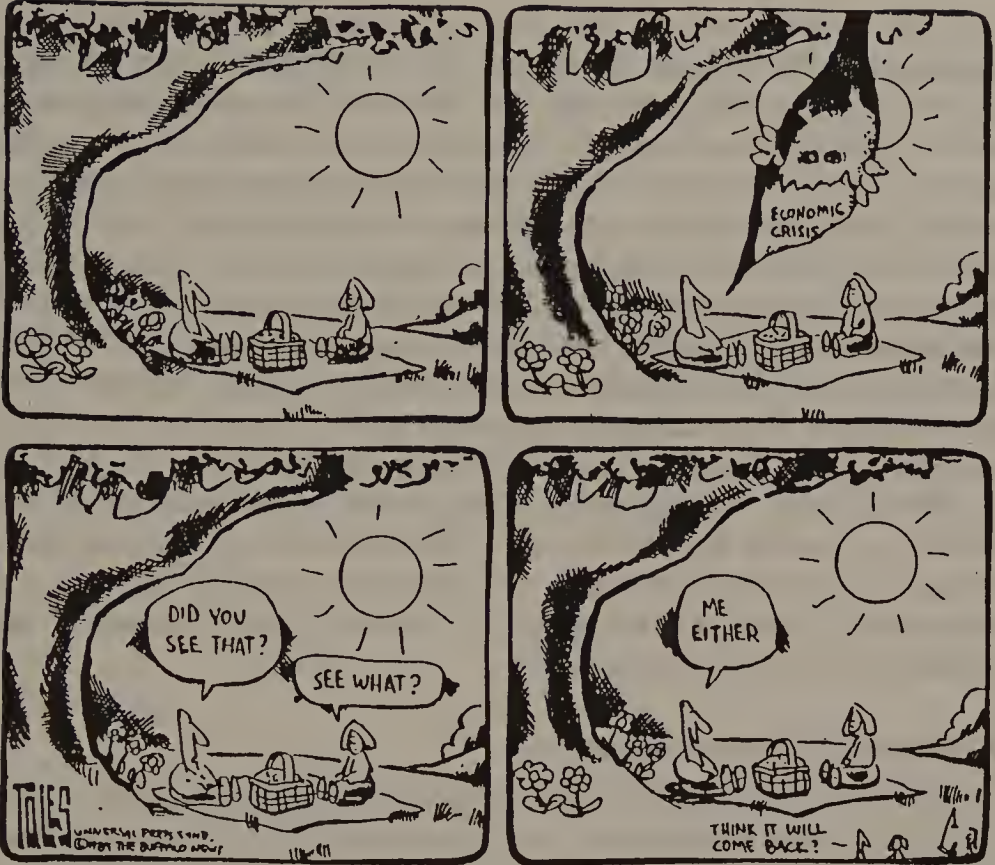




throughout the Western world and lasted nearly six years, from 1785 through the first quarter of 1791. Given the magnitude of the expected decline in the U.S. and the fact that countless charts of economic activity in various foreign countries show the same general profiles as those shown in this chapter, the depression will not be confined to this country, but will be a worldwide affair. In the process, not only will hundreds of moderately sized corporations listed on the stock exchanges declare bankruptcy, but many national and international blue chip companies that are seemingly permanent fixtures, that are decades and even centuries old, will fold under the pressure of the coming contraction.

Form of the Contraction

If the stock market outlook described in Chapter 5 is accurate, the coming depression will be only the first of two, or perhaps three, deep depressions over the coming century. The first depression will be the result of wave (A) down in the Grand Supercycle (see Figure 5-4). Given the few years it has to unfold according to our time stud-